

FORENSIC SECTOR DEEP DIVE

India Quick Commerce

How it started, how it's actually going, and what "profitable" really means for Blinkit, Instamart and Zepto

46/24/22% BLINKIT/INSTAMART/ZEPTO SHARE	1.1% BLINKIT'S ACTUAL EBITDA MARGIN	-₹778cr INSTAMART ADJ. EBITDA, Q1FY27	+26% ZEPTO LOSS GROWTH, FY26	2 sets of books ZEPTO'S ROC VS DRHP GAP
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EXECUTIVE SUMMARY

Quick commerce is one of the fastest-growing, most-covered, and least-understood sectors in Indian business media — mostly because every company in it reports a different metric as its 'proof' of progress, and financial journalism generally repeats whichever number the press release leads with. This report does something simpler: it puts Gross Order Value, Revenue, Contribution Margin, Adjusted EBITDA, and actual Net Profit/Loss for all three major players (Blinkit, Instamart, Zepto) on the same page, in the same units, so the real picture is visible.

The real picture: Blinkit is the only one of the three that is genuinely profitable by a real (if thin) measure — a full-year Adjusted EBITDA margin of 1.1%. Swiggy Instamart's celebrated 'contribution breakeven' excludes most of the company's actual cost base and still produced a ~₹778 crore Adjusted EBITDA loss last quarter. And Zepto — now filing for an IPO — has a genuinely documented discrepancy between its own RoC filing and its own IPO prospectus for the identical fiscal year's revenue and losses, on top of total losses that grew 26% in FY26 even as per-order economics improved. None of this means the sector isn't real or isn't growing — it unambiguously is, at a pace few Indian sectors can match. It means the profitability story is running well ahead of the profitability reality for two of the three largest players.

1. HOW IT STARTED

Swiggy launched Instamart in 2020, repurposing its existing food-delivery rider network for 10-30 minute grocery delivery — the first major mainstream entrant. Zepto followed in 2021, founded by two 19-year-old Stanford dropouts, Aadit Palicha and Kaivalya Vohra, built from day one around the specific promise of 10-minute delivery and initially domiciled in Singapore. Zomato took a different route into the category, acquiring a majority stake in Grofers and rebranding it Blinkit in December 2021, pivoting an existing next-day grocery delivery business into the instant-delivery model.

The model's viability was genuinely uncertain early on: European pioneers Getir and Gorillas collapsed or consolidated under losses in 2022-23, and India's own early hyperlocal delivery player, Dunzo, ran into a prolonged cash crunch through 2023-24 and effectively exited the category — a real shake-out, not just a slowdown. The standard explanation for why the model persisted in India anyway is structural: dramatically lower labour costs and extremely dense urban geography make the delivery-cost side of the equation more forgiving than it was in Europe. Zepto redomiciled from Singapore to India in January 2025 ahead of its planned listing, and by 2025 all of the giants — Tata (BigBasket), Flipkart (Flipkart Minutes) and Amazon (Amazon Now) — had stopped watching from the sidelines and launched competing operations.

2. HOW IT'S GOING: MARKET SIZE & SHARE

Sizing this market honestly requires admitting the estimates don't agree. Datum Intelligence (via Reuters) put the market at ~\$11.5bn as of end-2025; other providers using narrower GMV definitions land closer to \$5-7bn. Projections for 2029-2030 range from \$13bn (GlobeNewswire) to \$40-42bn (Redseer, Morgan Stanley) — every credible source agrees on the direction (fast, sustained growth) and disagrees by 3x on the scale. As of January 2026, market share sits at roughly Blinkit 46%, Instamart 24%, Zepto 22%, and the Amazon/Flipkart/BigBasket cohort splitting the remaining 8-10%. JPMorgan estimates quick commerce has captured 56% of India's total online grocery delivery from traditional e-commerce — this hasn't just grown a new category, it has actively taken share from slower delivery models.

The operational reality behind the growth numbers: profitability at the store level is a function of order density, not city coverage or store count. The commonly cited breakeven threshold for an EBITDA-positive dark store is roughly 1,250-1,400 orders per day — which is the real reason Blinkit's path to profitability runs through fewer, busier stores rather than blanket expansion, and why store count alone (a number all three companies love to cite) tells you almost nothing about unit economics on its own.

3. SEEING THROUGH THE NUMBERS: THE METRIC LADDER

Every company in this sector reports a different 'best' metric, and they sit at genuinely different points on the same ladder from least to most meaningful:

- **1. GOV / GMV / NOV.** Total value of goods sold through the platform — includes money that passes straight through to suppliers. The number every press release leads with, and the least informative about the company's own economics.
- **2. Revenue.** What the company actually books. Increasingly distorted by a shift from marketplace (commission-only) accounting to 1P/inventory-led accounting, where the full retail value of goods sold gets booked as revenue — Blinkit's 182% YoY revenue growth in Q1 FY27 is real, but a meaningful share of that growth rate is this accounting shift, not organic demand growth.
- **3. Contribution Margin.** Revenue minus direct fulfillment costs (delivery, packaging, wastage, discounts) — excludes central marketing, technology and corporate overhead entirely. A store-level number being reported as if it answers a company-level question.
- **4. Adjusted EBITDA.** Contribution minus allocated overhead and most marketing, but still excludes ESOP costs, depreciation, interest and tax. The most-quoted metric in investor calls, and the first one that starts to resemble a real profitability claim.
- **5. Net Profit / (Loss).** The real number — includes everything. This is what actually happens to shareholders' equity, and it's the number companies mention last, if at all, at the segment level.

Keep this ladder in mind for every claim in the rest of this report.

4. BLINKIT: THE REAL (IF THIN) PROFITABILITY CASE

Blinkit posted ₹37,779 crore of FY26 revenue and its first full year of positive Adjusted EBITDA: ₹430 crore, a 1.1% margin. In Q1 FY27, Adjusted EBITDA was ₹102 crore on a Net Order Value of ₹17,132 crore (+86% YoY) — the fifth consecutive quarter of improvement, with contribution margin rising to 5.3% of NOV from 3.9% a year earlier.

Two caveats worth taking seriously. First, that headline 182% YoY revenue growth figure is substantially an artifact of Blinkit's shift to a 1P inventory model, which books the full value of goods sold rather than just a commission — a business-model and accounting change, not purely organic demand growth, and not something press coverage of the 182% figure generally mentions. Second, even at its best, Blinkit's Adjusted EBITDA of ₹102 crore in Q1 FY27 was roughly one-sixth of Zomato's own food-delivery business's ₹606 crore Adjusted EBITDA in the same quarter — despite Blinkit now being the larger business by order value. The 10-minute delivery model has proven it can reach real, positive Adjusted EBITDA in India; it has not yet proven it can do so anywhere near as profitably, per rupee of scale, as the food-delivery business it now dwarfs in size.

5. SWIGGY INSTAMART: 'BREAKEVEN' DOESN'T MEAN WHAT IT SOUNDS LIKE

Instamart reached what Swiggy calls 'contribution breakeven' in May 2026 — contribution margin of -0.2% of GOV in Q1 FY27, up 440 basis points year-on-year. That is a genuine, real improvement. It is also, by definition, a number calculated before central marketing, technology, and corporate overhead. The metric that includes those costs, Adjusted EBITDA, was still a loss of approximately ₹778 crore for the quarter (secondary sources cite a slightly different ₹650 crore figure for a related but not identical consolidated metric — itself a small illustration of how inconsistently even 'adjusted' numbers get reported for the same company in the same period).

It's also worth noting how the 'breakeven' was partly achieved: Swiggy disclosed that it discontinued serving more than 4 million users it judged structurally unprofitable to serve. That's a legitimate cost-management lever, but it means part of the improvement in the headline contribution-margin number came from walking away from certain customers, not purely from getting more efficient at serving all of them. Swiggy's own management has set a target of 250-300 million orders per quarter for Instamart to reach genuine Adjusted EBITDA breakeven — a specific, checkable target that gives a real sense of how much further the segment has to travel, in contrast to the vaguer 'we're getting there' language more common in this sector.

6. ZEPTO: TWO SETS OF BOOKS, AND LOSSES STILL GROWING

Zepto is the most forensically interesting name in the sector, and not in a good way. Its FY25 revenue and net loss are reported differently in two of its own official documents: its statutory RoC filing shows FY25 revenue of ₹9,668.8 crore and a net loss of ₹3,367.3 crore, while its updated IPO DRHP (filed June 2026) shows FY25 revenue of ₹11,109.9 crore and a net loss of ₹4,699.71 crore for the same fiscal year — a gap of roughly ₹1,441 crore in revenue and ₹1,332 crore in losses that has not been clearly reconciled in public company commentary. This may well reflect legitimate consolidation or restatement differences tied to Zepto's January 2025 redomiciliation from Singapore to India, but the burden is on the company to explain that gap clearly to IPO investors, and as of this report it hasn't.

Set that discrepancy aside and look at FY26 alone: revenue roughly doubled to ₹22,623.58 crore, but net loss also grew, by 26%, to ₹5,905.19 crore. Adjusted EBITDA loss grew too, by 11.5%, to ₹5,041.5 crore. The one genuinely positive trend is per-order economics: the average Adjusted EBITDA loss per order improved from ₹136.15 to ₹78.75 across the year, and to just ₹59.4 in the final quarter — real evidence that unit economics are improving even as total losses grow, because order volume is growing faster than the per-order loss is shrinking. Return on capital employed for FY26 was -74.8%, and free cash flow was -₹4,329 crore against a cash and bank balance of just ₹973 crore (versus ₹9,638 crore of total current assets, most of which is not cash) — numbers that explain why Zepto needs this IPO, and why it's proceeding at a valuation of \$5.6-5.95bn, a 15-20% haircut to its last private round of \$7bn. Separately, Zepto's own DRHP discloses an Enforcement Directorate summons to its founders under India's foreign exchange regulations (FEMA) — a real, company-disclosed legal risk, not speculation.

One more thing worth watching: Zepto's advertising revenue (fees charged to brands for platform visibility) grew from ₹49 crore in FY24 to ₹651 crore in FY25 to ₹1,636 crore in FY26 — a 33x increase in two years, now 7.8% of what the company calls Net Receivables Value, up from 1.1%. This is a standard, legitimate monetization lever (Amazon and Flipkart do the same), but it's also a lever that inflates revenue and margin optics without reflecting any improvement in the actual delivery unit economics that define whether the 10-minute model itself works.

7. REGULATORY & STRUCTURAL RISK

- **The FDI/marketplace structure is under real challenge.** 100% automatic-route FDI is permitted only for pure marketplace models, not inventory-led retail. CAIT alleges the 'preferred seller' and dark-store structure is a functional workaround, and has taken the complaint to the CCI — an unresolved structural risk to the entire sector's foreign-capital funding model, not just a PR dispute.
- **Gig worker costs are about to become real line items.** Labour codes effective November 2025 bring gig workers under social security coverage for the first time, requiring platforms to contribute 1-2% of annual turnover to a dedicated fund — a genuine new cost that scales with volume and isn't yet fully reflected in any of the unit economics discussed above.
- **Food safety liability is being tested in real enforcement actions, not hypotheticals.** FSSAI has issued notices treating Blinkit as a liable food business operator rather than a neutral intermediary; Maharashtra's FDA suspended one of Zepto's dark-store licenses in June 2025. These are precedents, not one-offs.
- **The industry is organizing to respond.** Amazon, Eternal, Meesho, Swiggy and Zepto formed a joint 'Digital Commerce Coalition' in 2026 — a sign the companies themselves see the regulatory risk as serious enough to warrant a coordinated lobbying response.

8. VALUATION CONTEXT

The public market is already pricing a meaningfully different outcome for the two listed players. Eternal (Zomato/Blinkit's parent) carries a market capitalization of roughly ₹3.0 lakh crore as of August 2026; Swiggy (Instamart's parent) sits at roughly ₹78,500 crore — a gap far wider than the underlying food-delivery businesses alone would suggest, and consistent with the market crediting Blinkit's genuine (if thin) profitability more than Instamart's contribution-margin-only progress. Zepto's IPO, targeting a \$5.6-5.95bn valuation versus its last private round of \$7bn, is itself a market signal: public investors, with access to the RoC-filing-vs-DRHP discrepancy and the FY26 loss growth, are not willing to pay the private-market price.

BOTTOM LINE

Quick commerce in India is a genuine, structural shift in how the country buys groceries and daily essentials — the growth numbers, the share-of-online-grocery numbers, and the pure scale of dark-store build-out are all real. What isn't yet real, for two

of the three largest players, is the profitability being implied by the headline metrics they choose to report. Blinkit has crossed a genuine, if thin, threshold. Swiggy has a specific, disclosed distance left to travel and a clear target for getting there. Zepto has the fastest-improving per-order economics of the three and, simultaneously, the least reconciled set of public financial disclosures — an IPO investor in Zepto is being asked to underwrite a growth story on numbers the company's own filings don't yet agree with each other about. None of that makes the sector a bad bet. It makes it a sector where reading past the headline metric to whichever rung of the ladder it actually sits on is not optional — it's the entire analysis.